

Retirement Income Tools

Retirement plans can be built to manage varying risks by strategically combining different retirement income tools. As a result, retirement income planning is now emerging as a distinct field.

Total-Return Investment Portfolios

Making systematic withdrawals from a well-diversified investment portfolio is a common way to obtain retirement income. Systematic withdrawals do not protect a retiree from longevity risk or sequence-of-returns risk and may only protect from inflation risk when asset returns can keep up with inflation. This approach has its benefits, such as the potential to keep your nest egg growing so you can leave a large inheritance, as well as a sense of technical liquidity that could become true liquidity if markets perform well. A total-return approach is particularly vulnerable to declining cognitive abilities, as it requires complex financial decision-making to manage distributions and investments.

Individual Bonds

Leaving behind the purely total-return perspective, another viable option is to hold fixed-income assets to their maturity to guarantee upcoming retiree expenses. Often, this will be done to support short-or medium-term spending, with a more aggressive investment portfolio with higher expected returns and growth to be deployed for expenses in the long term.

Holding bonds to their maturity can keep you from selling them at a loss, which may help alleviate sequence-of-returns risk. Individual bonds do not provide longevity protection, however. While they may provide technical liquidity, selling them early to use for other contingencies could result in capital losses as well as the loss of assets that had been earmarked to cover future spending. Traditional bonds will be exposed to inflation risk, but Treasury Inflation-Protected Securities (TIPS) can be used to lock in the purchasing power of money in real terms.